START-UPS SLOW DOWN, CUT JOBS

THE CHANGING POST-PANDEMIC BUSINESS CLIMATE, UNCERTAINTIES AROUND THE UKRAINE WAR AND A GLOBAL FUNDS SQUEEZE ARE FORCING SOME INDIAN START-UPS TO SACK HUNDREDS OF THEIR STAFF. HOW LONG WILL THE PAIN LAST?

By M.G. ARUN | *Illustration by* **NILANJAN DAS**



PRATEEK SHETTY (*name changed*), 29, a junior sales executive in a Bangalore-based edutech start-up, got the shock of his life in early May. Over e-mail, he was told his services would no longer be required, and that he had to put in his papers in the next few days. Several of his colleagues also received the same message. "We were given no explanation as to why we were being fired," says a distraught Shetty. Frequent e-mails from his seniors did talk about a plunge in sales in the weeks before the layoff as Covid cases abated and schools and colleges reopened. Senior staffers were told to reduce costs in various departments, but a job cut came as a total surprise. "I was not even given a full salary for the whole month, and was asked to resign within a week," he says. The Rs 5 lakh a year salary was just enough for him to take care of his retired parents and partly pay for his younger brother's education. Shetty has turned to social media now to scout for a new job. "I have got a few referrals through Twitter, attended some interviews too, but haven't got an offer yet. There are fewer jobs in start-ups now," he says.

Shetty's plight is among the raft of bad news coming in from across the start-up spectrum in the form of big layoffs as companies face a funds squeeze in an environment marked by uncertainty, high cost of funds and the growing clamour for more due diligence following instances of reckless spending and even cases of alleged fraud. Media reports point to over 5,800 start-up employees being axed since the beginning of 2022. As the start-up sector goes through a phase of rationalisation, even unicorns have not been spared. This year, edutech firms Unacademy and Vedantu have laid off 600 and 624 of their staff, respectively, while online retailer Meesho has laid off 150 workers from its grocery business. Pre-owned car seller Cars24 has axed 600 staff, and cab aggregator Ola has asked 2,100 staff to leave in the January-March period. Furniture start-up Furlenco and social commerce platform Trell, (the latter is under investor scrutiny for alleged financial irregularities), have cut their staff, too, by 180 and 300, respectively. The layoffs in India come amidst similar news globally. Since April, 20,000 workers have reportedly been laid off from tech start-ups, mostly in the US.

WHEN REALITY STRIKES

Until just a few months ago, start-ups were the toast of the town. From cab aggregators to food tech firms to online retailers of furniture, fashion products or medicines, the new legion of start-ups were in hot demand. As hordes of youngsters, many of them fresh from the country's prestigious professional colleges, sought to give wings to their entrepreneurial dreams, big money followed suit. A host of marquee global investors queued up to fund these start-ups. Government data says India has seen 60,000 new start-ups since 2016 in 56 different sectors, employing around 600,000 people. The country added 14,000 start-ups in 2021-22, a giant leap from just 733 added in 2016-17. Over a 100 of them have entered the prestigious 'unicorn' club of start-ups that command a valuation of $1 billion (Rs 7,760 crore) or more. Over the years,